

projections missed the mark.³¹ Goldman Sachs promptly reduced its footprint in the industry, citing the “changed regulatory environment.”³² On form, if SPACs could no longer mislead investors, Wall Street was no longer so game.

A backward glance at the bubble suggests that the only purpose of SPACs was to provide targets a backdoor to going public, which came at the considerable cost of sidestepping securities regulations and the attendant risk of capital misallocation (and investor losses). The majority of initial SPAC investors protected themselves by redeeming or selling. But the investors who took their places—those who chose not to redeem—wound up underwriting the various other parties, in particular the targets. Professor Klausner concluded, “SPAC shareholders that choose not to redeem . . . unwittingly subsidize the firms they bring public.”³³

The SPAC bubble, though instructive, was brief. It was overshadowed by the more enduring speculation in cryptocurrencies. While Graham would have blinked, uncomprehendingly, at Bitcoin, he would have recognized, almost as though reading a page from the roaring twenties, the self-interested promotion by Wall Street institutions and the herdlike credulity of small investors.

Bitcoin and other crypto assets were touted as an alternate currency, the currency of the future, apparently spawned by an ideological desire to create a currency free of government involvement. However, only El Salvador made Bitcoin its legal tender (a decision disclosed by its 40-year-old president while attending a Bitcoin conference in Miami). Investing in its new money, the Central American nation promptly incurred an unrealized loss of 50%. Even

³¹ “SEC Proposes New Disclosure Requirements for SPACs.”

³² “SPACS Were All the Rage.”

³³ Klausner et. al., *op. cit.*, 7.